SL No.118

NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH
COURT HALL NO: II

Special Bench (Video Conference)

CORAM: HON'BLE BHASKARA PANTULA MOHAN,–MEMBER (J)
CORAM: HON'BLE DR. BINOD KUMAR SINHA- MEMBER (T)

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, HYDERABAD BENCH, HELD ON 06.05.2022 AT 02:00 PM THROUGH VIDEO CONFERENCE

TRANSFER PETITION NO.	
COMPANY PETITION/APPLICATION NO.	CA (CAA)/2/2022
NAME OF THE COMPANY	Gangavaram Port Limited
NAME OF THE PETITIONER(S)	
NAME OF THE RESPONDENT(S)	
UNDER SECTION	230

ORDER

CA (CAA)/2/2022 filed under Section 230 seeking for dispensation of meeting is allowed. Orders passed vide separate sheets.

MEMBER (T) **MEMBER (J)**

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IN THE NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH, HYDERABAD

CA(A) Merger & Amalgamation/2/230/HDB/2022
Under Section 230 to 232 of the Companies Act, 2013

In the matter of :

Between

M/s. Gangavaram Port Limited
Having its registered office at
Hansa Plaza, 2nd to 4th Floor,
Plot No.798, Road No.36,
Jubilee Hills, Hyderabad – 500 033,
Telangana, India.

...Applicant
Company

Date of order: 06.05.2022

Coram: Shri Bhaskara Pantula Mohan, Member Judicial
Dr. Binod Kumar Sinha, Member Technical

Parties/Counsels Present:

For the Applicant : Ms. Rubaina S. Khatoon, Advocate

[Per : Bench]

ORDER

1. The present Joint Company Application bearing CA(A) Merger & Amalgamation/2/230/HDB/2022 is filed by M/s Gangavaram Port Limited under section 230 to 232 of the Companies Act, 2013 read with the Companies

(Compromises, Arrangements and Amalgamation) Rules, 2016.

2. The present Company Application is filed, inter-alia, seeking the following prayers:-

A. To dispense with the meeting of the Equity Shareholders of the Applicant company, for the purpose of considering and if thought fit, approving with or without modification(s), the Composite Scheme of Arrangement among Gangavaram Port Limited (GPL) and Adani Ports and Special Economic Zone Limited (APSEZL) and Adani Gangavaram Port Private Limited (AGPPL) (hereinafter referred to as the "Scheme") in view of the consent affidavits to the Scheme received from the respective Equity shareholders of the Applicant Company;

B. To hold that no meeting of the Unsecured Creditors of the Applicant Company, for the purpose of considering and if thought fit, approving with or without modification(s), the Scheme is required to be held or convened in view of the fact that the rights and interests of the Unsecured Creditors of the applicant company are not affected by the Scheme as proposed and in light of the averments made in the present application.

3. The Registered Office of the Applicant Company is situated in the State of Telangana and therefore, it is within the jurisdiction of this Tribunal.

4. The Registered Office of the Adani Ports and Special Economic Zone Limited (APSEZL) and Adani Gangavaram Port Private Limited (AGPPL) are situated in the state of

Gujarat, thereby falling out of the jurisdiction of this Tribunal.

5. Brief facts as stated in the instant application are as follows:

In respect Applicant Company:

The Authorized, Issued, Subscribed and Paid-up Share Capital of the Applicant Company as on 31.12.2021 is as follows:-

Particulars	**Amount In Rupees**
Authorised:	
100,00,00,000 Equity Shares of Rs.10/- each	1,000,00,00,000
Total	**1,000,00,00,000**
Issued, Subscribed and Paid-up:	
51,70,00,000 Equity Shares of Rs.10/- each	517,00,00,000
Total	**517,00,00,000**

The main objects of the Applicant Company as per the Memorandum of Association are **(i)** to carry on in India or elsewhere either alone or jointly with one or more person, Government, local or other Bodies the business of designing, developing, building, maintaining and operating seaport terminals for bulk, break bulk, liquids, chemicals, gas, petroleum products and containerized cargo and works of all descriptions etc. **(ii)** to construct and maintain for the Company or for letting out on hire, graving and other docks and other conveniences for the building, repairing or docking of ships or other vessels and to aid in or contribute to the construction of any such works and to build fit out and

repair vessels of every description and to construct, repair engines, boilers and machinery **(iii)** To manufacture, produce, assemble, alter, build, break, construct, convert, commercialize, control, design, develop, dismantle, distribute, display, establish, exchange, erect, equip, fitting up, fabricate, hire, handle, let on hire, release, install, maintain, operate, organize, prepare, promote, supply, import, export, buy, sell etc. **(iv)** To carry on the business of establishment, development, construction, operation, maintenance of infrastructure projects in India and abroad in the fields of road, highways, power generation and for power distribution and for power transmission etc. **(v)** To carry on the business of consultants and contractors in setting up of all the above referred infrastructure projects and to undertake logistic services and also to undertake research and development programmes in above fields.

6. That the Board of Directors of the Applicant Company in Board Meetings held on 22.09.2021, accorded their consent for amanlgamation of Gangavarm Port Limited with Adani Ports and Special Economic Zone Limited as per draft composite Scheme of arrangement between Gangavaram Port Limited (GPL) and Adani Ports and Special Economic Zone Limited (APSEZL) and Adani Gangavaram Port Limited (AGPPL) and their respective shareholders and creditors.

7. Rationale for the proposed scheme of arrangement , *inter-alia* is as under:-

The proposed Scheme would *inter alia* have the following benefits:

a. GPL is operating an all-weather, deep-water, multi-purpose port located at Gangavaram, Andhra Pradesh, under a 30 year on Build-Own-Operate-Transfer concession from Government of Andhra Pradesh.

b. The Scheme will result in catering to a large hinterland forming part of Vishakhapatnam and Gangavaram Ports in the state of Andhra Pradesh. With this Scheme, APSEZ would be able to expand its presence in the state of Andhra Pradesh and contribute to the progress of the state's economy by upgrading and further developing the state's marine infrastructure through its wholly owned subsidiary company viz., AGPPL. Etc.,

8. The composite scheme of arrangement, *inter-alia,* provides for:-

a. Amalgamation of Gangavarm Port Limited with Adani Ports and Special Economic Zone Limited with effect from appointed date 1 i.e., 01.04.2021 (as defined in the scheme).

b. Transfer of the Divestment Business undertaking as a going concern on a slump sale basis, with effect from the appointed date 2 i.e., 02.04.2021, by APSEZ to Adani Gangavaram Port Private Limited for a lump sum consideration under Section 230-232 of the Companies Act, 2013 and in accordance with Section 2(42C) of the IT Act.

9. The effect of the proposed scheme on stakeholders of Applicant Company would be as under:-

a. The Equity Shareholders of GPL (except the shares held by APSEZ in GPL, which shall stand cancelled), shall

become the equity shareholders of APSEZ in the manner as stipulated in clause 5.1 of Part II of the Scheme.

10. The Applicant Company has filed certificate of Chartered Accountant stating that as on 31.012.2021 there are 7 (seven) Equity Shareholders in the Applicant Company and all the Equity Shareholders have given their respective consent affidavits agreeing to the proposed Scheme. (Placed at Page No.1229-1247).

11. The Applicant Company has filed certificate of Chartered Accountant stating that as on 31.12.2021 there are no Secured Creditors.

12. It is stated by the learned counsel for the Petitioner Company that under the scheme, no compromise is offered to any of the unsecured Creditors of the Applicant Company and neither any liability of the Unsecured Creditors of the Applicant Company is being reduced or extinguished under the Scheme. As per the financial position as at 31.12.2021, in the case of Applicant Company, there is an excess of assets over liabilities to the tune of about Rs. 2,873.19 Crores. Further as per the financial position as at 31.12.2021 in the case of APSEZ, there is an excess of assets over liabilities to the tune of about of Rs. 22,632.85 Crores. The certificate of the Chartered Accountant is also placed on record. Under the circumstances, the interest of the Unsecured Creditors of the Applicant Company is in no way affected by the present scheme.

13. Stating so, the Applicant Company has sought to hold that no meeting of the unsecured creditors of the Applicant Company is required to be held or convened to consider the

Scheme. In this regard, the Applicant has also placed reliance on plethora of the judgments of Hon'ble High Courts & Hon'ble NCLAT including the following:

i. Hon'ble NCLAT in Company Appeal (AT) No. 19 of 2021 in the matter of Ambuja Cements Ltd.

ii. Hon'ble High Court of Gujarat in Company Application No 30 of 2003 in the matter of Cadila Healthcare Ltd.

14. That the APSEZ and AGPPL have filed necessary Application being C.A (CAA)/5(AHM) 2022 before the NCLT, Ahmedabad Bench.

15. Learned Counsel for the Applicant Company has further filed an Additional Affidavit dated 20.04.2022, reiterating the submissions made in relation to the unsecured creditor and has further enclosed the list of unsecured creditors, as on 31.03.2022 wherein it is seen that there are around 694 unsecured creditors with a total value of Rs. 77.61 Crores. The said affidavit has been perused.

16. Heard. Perused the record.

17. In view of the fact that 100% Shareholders of the Applicant Company have given their consent by way of Affidavits to the proposed Scheme; it would be just and fair to dispense with the meeting of the shareholders of the Applicant Company. In any case, dispensing with meetings of Applicant Company would not deprive any aggrieved party to approach this Tribunal at any point of time, when the approval of Scheme in question finally comes for consideration.

18. In relation to the unsecured creditors of the Applicant Company, this Tribunal is of the opinion that though there are around 694 unsecured creditors amounting to the tune

of Rs. 77.61 Crore, there is excess of assets over liabilities to the tune of Rs. 3,055.64 Crores as reflected in the Balance Sheet of the Applicant Company as on 31.03.2022. Thus considering the facts and circumstances as well as the guidance available in judicial pronouncement relied upon by the Applicant, this Tribunal hereby dispense with the meeting of the unsecured creditors of the Applicant Company.

19. There are no secured creditors of the Applicant Company. Hence, the need to direct the Amalgamating/Applicant Company to hold meeting of secured creditors does not arise and hence dispensed with.

20. In the result, we hereby dispense with convening of meeting of shareholders and unsecured creditors of Applicant/Amalgamating Company.

21. In any eventuality when the Applicant/Transferor approach this Tribunal for seeking approval of the Scheme, it would be open for any person who is interested in the Scheme to put forth their contentions before the Tribunal.

22. The Company Application i.e. CA(CAA)No.2/230/HDB/2022 is disposed of accordingly.

Dr. Binod Kumar Sinha
Member Technical

Bhaskara Pantula Mohan
Member Judicial

Santi/SKRathi